Ledgerline Software
Transaction services and accounting

Management Accounts Pack March 2026

Monthly results and nine months year-to-date performance against budget

Prepared for the Board of Directors
Period: month and nine months ended 31 March 2026
Version 1.0, 15 April 2026
Unaudited management information
Reference: LLS-FIN-MA-2026-03
Date: 15 April 2026

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Entity	Ledgerline Software Pty Ltd
ABN	80 129 997 467
Registered office	Level 12, 88 Clarence Street, Sydney NSW 2000
Reporting period	Month of March 2026 and nine months from 1 July 2025 to 31 March 2026 (FY26 year-to-date)
Financial year end	30 June
Date of pack	15 April 2026
Prepared by	Ledgerline Software finance team
Prepared for	Board of Directors, including Halcyon Growth Partners Pty Ltd (as manager of Halcyon Growth Fund II)
Status	Unaudited management accounts, version 1.0

Document details

1. Executive summary

Ledgerline traded ahead of budget in March 2026 and for the nine months to 31 March 2026. Annual recurring revenue (ARR) closed the month at A$41.0M, up A$1.4M from A$39.6M at 31 December 2025 and up 24.0% on the prior year. Year-to-date revenue was A$30.2M against a budget of A$29.6M, and adjusted EBITDA was A$4.7M against a budget of A$4.2M.

- Revenue: A$30.2M year-to-date, A$0.6M (2.0%) ahead of budget. Recurring subscription revenue was A$28.4M, or 94.0% of the total.
- Gross margin: 79.1% against a budget of 78.4%, reflecting lower hosting and payment processing costs per account.
- Adjusted EBITDA: A$4.7M (15.6% margin), A$0.5M ahead of budget. Last twelve month adjusted EBITDA is A$6.1M on last twelve month revenue of A$38.9M.
- Retention: net revenue retention (NRR) of 108% and gross revenue retention (GRR) of 92%, both in line with the prior quarter.
- Cash: A$4.1M at 31 March 2026 after funding A$3.3M of capitalised development and A$0.5M of bank interest. Existing bank term debt is A$9.0M.
- Overheads: general and administration is A$0.4M over budget, driven by A$0.5M of one-off refinancing and acquisition costs that are added back to adjusted EBITDA.

2. Basis of preparation

These accounts are prepared from the general ledger and billing system for internal management purposes. They have not been audited or reviewed by Brennan Hartley & Co Chartered Accountants, who audited the FY25 statutory accounts and issued an unqualified opinion. Figures are in Australian dollars and are rounded to the nearest A$0.1M unless stated, so totals may differ from the sum of components by A$0.1M.

Revenue is recognised in line with the Group's accounting policies. Subscription revenue is recognised over the service period and implementation, training and payment processing fees are recognised as the service is delivered. Qualifying development costs are capitalised and amortised, and the amount capitalised in the period is shown separately in section 3.

ARR is a management metric and is not audited. It is calculated as the contracted monthly recurring subscription fees at the period end multiplied by twelve, including annual contracts at their annualised value and excluding implementation, training and transaction-based fees. Price increases are included from their effective date. Adjusted EBITDA adds back one-off transaction, refinancing and acquisition costs and is stated after the capitalisation of development costs.

3. Income statement: year-to-date against budget

The table compares actual results for the nine months to 31 March 2026 with the Board-approved FY26 budget phased to the same period. Favourable variances are shown as positive and adverse variances in brackets.

A$M	Actual	Budget	Variance	Var %
Recurring subscription revenue	28.4	27.8	0.6	2.2%
Implementation, training and payments	1.8	1.8	0.0	0.0%
Total revenue	30.2	29.6	0.6	2.0%
Cost of revenue	(6.3)	(6.4)	0.1	1.6%
Gross profit	23.9	23.2	0.7	3.0%
Gross margin	79.1%	78.4%	0.7 pts	n/a
Sales and marketing	(8.2)	(8.0)	(0.2)	(2.5%)
Research and development (net of capitalisation)	(5.6)	(5.7)	0.1	1.8%
General and administration	(5.9)	(5.5)	(0.4)	(7.3%)
Reported EBITDA	4.2	4.0	0.2	5.0%
Add back: one-off transaction costs	0.5	0.2	0.3	n/a
Adjusted EBITDA	4.7	4.2	0.5	11.9%
Adjusted EBITDA margin	15.6%	14.2%	1.4 pts	n/a

Table 1: Income statement, nine months to 31 March 2026

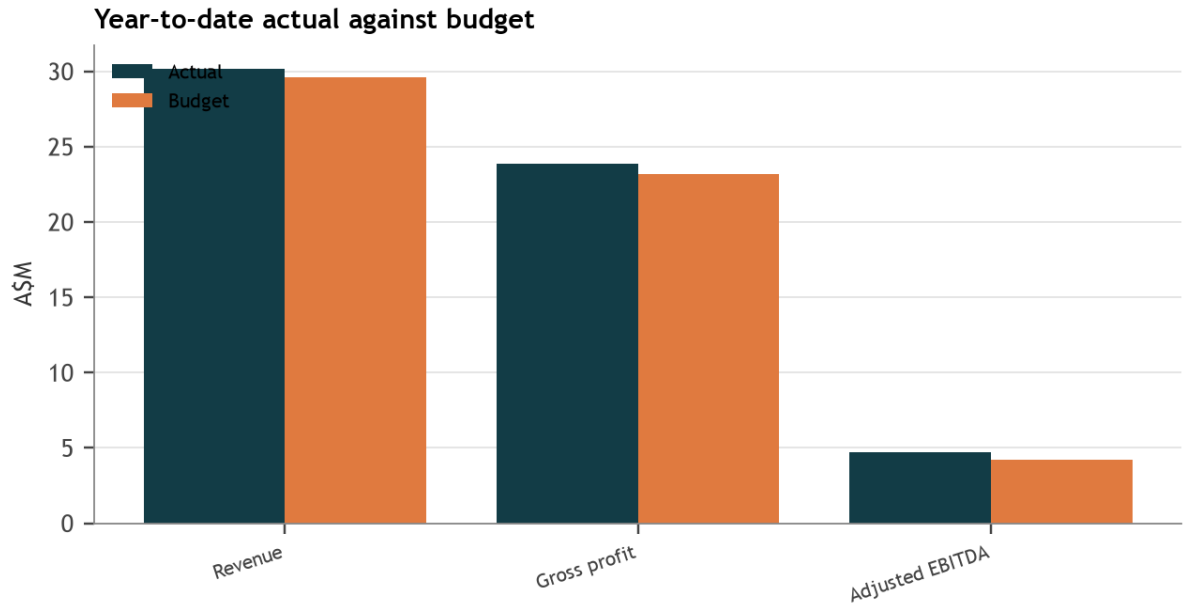


Figure 1: Key lines, nine months to 31 March 2026

3.1 Commentary

Recurring revenue is A$0.6M ahead of budget. About A$0.3M of this reflects the annual price increase taking effect on 1 March 2026, which was budgeted from 1 April. The balance comes from stronger expansion within the existing base, mainly additional payroll integration seats and practice management module upgrades.

Non-recurring revenue is on budget, with implementation volumes slightly lower and payment processing fees slightly higher.

Cost of revenue is A$0.1M below budget and gross margin has improved by 0.7 percentage points. Sales and marketing is A$0.2M over budget because of earlier hiring in the practice channel team. Research and development expense is A$0.1M under budget as a result of a later start for two Newcastle engineering hires. General and administration includes A$0.5M of advisory, legal and due diligence costs relating to the proposed refinancing and acquisition, against A$0.2M budgeted. Excluding these costs, general and administration is A$0.1M over budget.

Development spend is a material part of the cost base. Of total development expenditure of A$8.9M year-to-date, A$3.3M (37%) was capitalised, against a budget of A$3.4M. Adjusted EBITDA less capitalised development was therefore A$1.4M. The Board should read adjusted EBITDA with this figure in mind.

4. March 2026 month

A$M	Actual	Budget	Variance
Total revenue	3.62	3.55	0.07
Gross profit	2.87	2.78	0.09
Operating expenses (adjusted)	(2.29)	(2.28)	(0.01)
Adjusted EBITDA	0.58	0.50	0.08

Table 2: Income statement, month of March 2026

March adjusted EBITDA of A$0.58M was A$0.08M ahead of budget. The early effect of the price increase contributed to the revenue result. Operating expenses were in line with budget after adjusting for one-off costs.

5. ARR and customer metrics

A$M	Quarter to 31 Mar 2026
Opening ARR at 31 December 2025	39.6
New business accounts	0.6
Expansion and price increases	1.6
Contraction	(0.3)
Churn	(0.5)
Closing ARR at 31 March 2026	**41.0**

Table 3: ARR bridge for the March quarter

Net new ARR for the quarter was A$1.4M. Expansion includes about A$0.5M from the price increase effective 1 March 2026. Without it, ARR would have closed at A$40.5M. Churn and contraction of A$0.8M for the quarter equates to roughly 8% annualised, consistent with GRR of 92%. Net expansion from the existing base of A$0.8M is consistent with NRR of 108%.

Metric	31 Dec 2025	31 Mar 2026
ARR (A$M)	39.6	41.0
Paying business accounts	9,150	9,400
Accounting practices on the reseller programme	1,120	1,150
Average ARR per account (A$)	4,330	4,360
Net revenue retention	108%	108%
Gross revenue retention	92%	92%
Full-time equivalent employees	209	214

Table 4: Key operating metrics

The top 20 accounting practices contributed about 17% of ARR, or approximately A$7.0M. No practice in this group gave notice during the quarter. Recurring subscription revenue continues to represent about 94% of total revenue.

6. Cash flow and financial position

A$M	Actual	Budget	Variance
Adjusted EBITDA	4.7	4.2	0.5
One-off transaction costs paid	(0.5)	(0.2)	(0.3)
Working capital movement	0.4	0.2	0.2
Operating cash flow before interest and tax	4.6	4.2	0.4
Capitalised development	(3.3)	(3.4)	0.1
Capital expenditure	(0.4)	(0.5)	0.1
Income tax paid	(0.2)	(0.2)	0.0
Interest paid	(0.5)	(0.5)	0.0
Net cash movement	**0.2**	**(0.4)**	**0.6**

Table 5: Cash flow, nine months to 31 March 2026

Cash rose from A$3.9M at 30 June 2025 to A$4.1M at 31 March 2026, against a budgeted balance of A$3.5M. The working capital inflow reflects annual in-advance billing to practices and a reduction in overdue receivables. Cash conversion is positive, but most of the operating cash flow is reinvested in capitalised development.

Cash at 31 March 2026	A$4.1M
Bank term debt	A$9.0M
Net debt	A$4.9M
Bank term debt to ARR	0.22x
Trade receivables	A$2.9M
Deferred revenue	A$6.1M
Capitalised development, net book value	A$15.2M

Selected balances at 31 March 2026

7. Financing and transaction update

Management is progressing a proposed senior secured recurring-revenue term loan with a delayed-draw tranche, arranged by Corvane Capital Advisory Pty Ltd. The facility would refinance the existing A$9.0M bank term debt, fund the acquisition of a payroll software tuck-in business, provide growth capital for product development and sales capacity, and meet transaction costs. Tolland Reeve Lawyers are acting as legal counsel and Kestrel Assurance Partners are completing financial due diligence. A term sheet is expected in early May 2026. No acquisition price, drawn amount or facility fee is reflected in these accounts.

Indicative term or metric	Value
Facility limit	A$35.0M
Drawn at financial close	A$30.0M
Delayed-draw tranche (18 months)	A$5.0M
Tenor	48 months, interest only
Cash margin	3-month BBSW plus 6.25% p.a.
Establishment fee / commitment fee	2.00% / 1.00% p.a. on undrawn
Cash sweep	1.0% p.a. from month 25
Pro forma net debt	A$23.2M
Total debt to ARR (drawn)	0.73x
Facility limit to ARR	0.85x
Total debt to adjusted EBITDA	4.9x
Enterprise value (4.0x ARR)	A$164.0M
Facility limit to enterprise value	21.3%

Table 6: Indicative facility terms and pro forma metrics (subject to credit approval)

The enterprise value reflects the independent valuation by Marlow Quay Valuation Advisory Pty Ltd dated 6 March 2026. Debt to adjusted EBITDA is calculated on last twelve month adjusted EBITDA of A$6.1M and is high relative to EBITDA, so the covenant package is set against ARR and liquidity. Proposed covenants cover minimum ARR, maximum debt to ARR and minimum liquidity. Management will report the covenant calculations in this pack once terms are agreed.

8. Risks and matters for the Board

- Retention: GRR of 92% leaves limited buffer if small business insolvencies rise. Monthly churn is tracked by cohort and by practice, and no deterioration has been recorded in the quarter.
- ARR definition: ARR is unaudited. Kestrel Assurance Partners are testing the treatment of annual contracts and the timing of price increases as part of due diligence, and the figures above may be restated if definitions change.
- Channel concentration: the top 20 practices represent about 17% of ARR. Bank feed and ATO lodgement gateway integrations are provided by third parties and an outage would affect customer experience.
- Competition: larger incumbent platforms continue to discount to practices. New business ARR of A$0.6M in the quarter was modest and relies on a stronger second half pipeline.
- Acquisition integration: the payroll tuck-in will require product migration and retention of key staff. Forecast cost synergies are not included in budget or in these results.
- Cost discipline: sales and marketing and general and administration are over budget year-to-date and will be reviewed in the May reforecast.

9. Outlook

The year-to-date result provides some headroom to the FY26 budget, but the Board should note that the March price increase brought forward revenue that was budgeted for April. Management will present a full-year reforecast, including the effect of the proposed financing, at the May Board meeting. Hiring in engineering and the practice channel will continue within the approved headcount of 214 full-time equivalent employees until the reforecast is approved.

10. Sign-off

Prepared by	Ledgerline Software finance team, 15 April 2026
Reviewed by	Priya Jessop, Chief Executive Officer and Executive Director
Technical input	Daniel Jardine, Co-founder and Executive Director (Chief Technology Officer), on capitalised development
Presented to	Marguerite Ostrander, Non-executive Director and Chair
Status	Unaudited; subject to Board review

Preparation and review